

With a lot of confidence, he replied: ‘The money will double in three years and if it does not, I’ll go long term.’ Silence in the room. I don’t know where to go and bang my head. Many other financial planners and people in the financial sector agree with me that the most difficult to convince about sensible investing are your own family and extended family members.

I met the owner of a very popular fintech platform sometime back and he was traumatized that his cousin was investing in ICOs. ICO? What’s that? This is an Initial Coin Offer and this story is linked to the rise and rise of bitcoin value over the past two years. You have to be living in a cave to have escaped hearing about bitcoins and what fantastic returns they have given.

By one calculation, Rs 1 lakh invested in 2010 is now worth Rs 100 crore. Some people have overnight become really rich by buying bitcoins in the last few years. A bitcoin is one kind of cryptocurrency. What this means very simply is that, unlike physical currencies like the dollar or the rupee, no government issues cryptocurrency. There is no sovereign promise to pay the bearer a sum printed on the note, as we see on rupee notes. Very simply, cryptocurrency is a programme that is not owned or controlled by one person or state, but is generated by a computer program.

Sounds so weird, right? But then why is bitcoin price zooming? If we step back and think about currencies that we use, we will realize that anything that becomes a common medium of exchange is a store of value and can become a currency. We don’t know yet if bitcoins will become a global standard currency in the future, but what we do know is that bitcoin transactions are legal in some countries, have been banned in others and, in some like the US, are taxed, thus giving it legitimacy.

What does this mean for you and me? Do we buy bitcoins? I have a golden rule that has saved me money, and may have lost me lots of unrealized profits as well. ***I don’t invest in things I do not understand.*** I don’t fully understand what is giving bitcoins its value. If the argument is that it is limited in quantity, and, therefore, its value will continue to rise, I only have to look at gold and real estate prices to see where that argument goes. But the need for a global currency that smashes the monopoly of banks in money transfer has long been felt. But